

HALQA

Meeting Brief

*Akif Saeed · Chairman, Securities & Exchange Commission of Pakistan
Third meeting · 28 July 2026*

*“You gave us a brief. This is what came back — including
three places
where the research corrected us, and one where it corrected
you.”*

PREPARED BY TAHA AMJED · CONFIDENTIAL · 12 PAGES

If you read one page, read this one

Halqa digitises the Pakistani committee (*kameti* / ROSCA) without ever holding the pot.

Money moves member-to-member on a double-entry ledger; savings sit with CDC as trustee in the member's own name. We keep the record. That single structural choice removes the cause of every mass committee fraud, and it is why we sit outside the EMI and NBFC-lending regimes today.

Rs 4tn rotates informally each year 3rd-largest savings channel	0.3–1.4% simulated post-payout default (a model, not evidence)	1 real member on production we have not launched
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Those three numbers are the whole conversation. The market is proven, our loss model is unproven, and we have deliberately not opened to the public because collection is not yet real. We want to fix the middle number in the one place where being wrong is safe.

The direction we have chosen — and would like you to try to break

Structure: the **saver / consumer split** as the architecture (not a feature), delivered through **vault-collateral** and a **first-loss guarantee**, proved inside a **supervised sandbox** before any scale. In the menu of seven structures we put to you, that is **#4 delivered via #3 + #2, piloted through #6**.

Sequencing: one product ships first — the record-only committee with eligibility filtering and position quarantine. The Vault, asset committees, the tradeable-turn market and the float product are **built but held**, each behind a named gate. We would rather ship one product that works than five that are explainable.

The three asks, in order of value

- 1 • A sandbox cohort** — or a named path to one. This is the only thing on our roadmap that nobody else can give us, and it is how the middle number above stops being a simulation.
- 2 • Two introductions** — an AMC/CDC for the vault, and a bank or PSP for collection. These unlock the things SECP does not control.
- 3 • Your read on four lines** we cannot resolve ourselves (§8) — chiefly where “Halqa covers defaults” stops being a business cost and starts needing a licence.

Everything in this brief is either mechanism or sourced fact. Where a claim is a projection it says so. Where we do not know, it says that too.

1 · Since 23 July — you said, we did

You gave thirteen directives in the second meeting. This is the line-by-line.

What you said	What we did	Status
Don't worry about licensing, insurance or the TASDEEQ bureau for now.	Parked as instructed — but we researched all three anyway so the answers are ready the moment you want them. Two of them turned out to change the model (§2).	Done
Investigate the investment rails — CDC, mutual funds, MTS, the first online AMC.	Confirmed: CDC legally holds all fund money as trustee under the NBFC Regulations 2008; the AMC only manages. The online AMC you named is Mahaana Wealth — CDC-custodied, Islamic Cash Fund minimum Rs 1,000. Distribution needs a light SECP distributor registration , not an NBFC.	Done
Bring the Vault back — a member with money parked cannot really default.	Restored, restructured so it does not breach our custody principle: money goes member → CDC collection account → units in the member's own name . Two modes — Growth (idle savings earn ~10–11% instead of dying to ~11–12% inflation) and Safety (pledged, liened to the committee, so a miss self-cures from their own units). Live precedent: CDC's own Emlaak Financials.	Done
Does auto-debit <i>truly</i> work? Raast may be getting it.	Checked hard. You were right about Raast — PISP “pull payment” is in testing and “launching very soon” per the Raast CEO, June 2026. You were also right to be sceptical: true cross-bank auto-debit does not exist today for anyone in Pakistan, including Oraan . We build on RTP + card-on-file now and architect so PISP is a config change.	Done
The SECP sandbox can work for you.	It is now our primary ask (§7). We have confirmed unregistered start-ups intending to register are explicitly eligible.	Adopted
Halqa must cover defaults on its own balance sheet — and insure that exposure.	Adopted, with one correction you should know about : takaful covers death and disability, not wilful default . The instrument that covers actual default is a credit guarantee — and Pakistan now has one (NCGCL, 2024). Detail in §2.	Adopted + corrected
Filtering: only show a member the committees they qualify for.	Built as the first and cheapest layer of prevention. You cannot default on a commitment you were never shown. A student never sees the Rs 50,000/month circle.	Built
Keep barriers to entry low — simple, not paperwork.	Savers need only CNIC, home locality and job — no personal guarantee . All the friction is concentrated on early-turn consumers, who carry all the risk. The saver's experience is an ordinary committee.	Built
Separate consumers from savers.	This is now the spine of the whole model , not a feature — §3. The user never sees the jargon; they choose when they want their money, and the system assigns the risk treatment silently.	Architecture

Study Money Fellows and Egypt — what regulation let it exist.	Done, and the finding is the most useful thing we learned: Egypt never legalised the gam'eya . The Central Bank dedicated a sandbox cohort to ROSCAs , and Banque Misr — a state bank — holds the money . Money Fellows is the tech layer. It validates our structure exactly.	Done
Build the spine: onboarding → collection → pooling → prevention → recovery.	The full product report is organised on precisely that spine.	Done
Look at margin trading.	We read this as pointing at the clearing and settlement machinery a market in turn-positions would need, rather than MTS itself. We would like to confirm we understood you correctly — it is the one instruction we are not certain we read right.	Needs your read
A full product report in ~2 weeks, and be able to answer anything on it.	Delivered — three reports. Report 1 is the spine and is the document behind this brief.	Done

2 · Three things the research corrected

You sent us to check. Two of these correct assumptions we were carrying, and one corrects something said in the meeting. We would rather bring them to you than let you find them later.

Takaful does not cover default — a credit guarantee does

You told us to insure the default exposure. Takaful operators (EFU, Pak-Qatar, Salaam) cover **death and disability only**; no takaful or conventional insurer covers **wilful default** on a savings obligation. The correct instrument is a **credit guarantee**, and Pakistan has a dedicated vehicle: **NCGCL** — the National Credit Guarantee Company, established 2024 by Karandaaz with the Ministry of Finance — with a live **Rs 2.0bn PMIC–NCGCL portfolio guarantee** precedent from January 2026.

So the corrected stack is: Halqa first-loss → NCGCL-style guarantee for the tail → credit-life takaful sitting on top as a *member benefit*, not as our backstop. This is a better answer than the one we came in with, and we got to it because you pushed on insurance.

Oraan is SECP-licensed

In the meeting the working assumption was that Oraan operates without an SECP licence. It holds an **NBFC “Investment Finance Services” licence**, **SECP/LRD/107/OFSP/2023**, granted 2023; before that it ran **inside the SECP sandbox**. The uncertainty most likely attaches to the earlier phase, or to the SBP-side payment flow, which is genuinely opaque.

Why this matters to us: it changes our positioning from “they are unlicensed and we are careful” to something stronger and true — **we will walk the same ladder Oraan walked, sandbox → licence, but start guarantee-backed and CDC-custodied from day one**. We have stopped saying the other thing.

Money Fellows' “7–8%” is not a default rate

The figure circulating publicly is widely read as their default rate. It is not. **Money Fellows publishes no default rate at all**. The 7–8% is **empty-slot fill** — positions the platform funds itself — financed by a **US\$2.25m Symbiotics debt facility**. Their disclosed scale is real (~US\$1.5bn processed, ~350k monthly actives, profitable in 2025); the loss number is simply not public.

The consequence is awkward and worth saying out loud: the promise we are making — that Halqa covers member losses — goes **further than the benchmark actually does**. We should be precise about that rather than claim parity.

3 · The direction — a committee is two different people

Every committee is two transactions wearing one coat. Reading them as one is why informal committees fail and why one-size-fits-all rules cannot fix them.

	The Saver — late turn	The Consumer — early turn
What they are doing	Saving with discipline. Paying in for months, collecting at the end.	Borrowing from the group. Receiving the lump sum before paying most of it in.
Risk to the group	Near zero. By the time they could walk away they have already paid in more than they will receive.	Effectively all of it. Their forward liability is the whole exposure of the circle.
Their real complaint	Their money sat dead for a year while inflation ate it.	Nothing — they got what they came for.
What we give them	A return (Vault, CDC-held) and near-zero friction. CNIC, locality, job. No guarantee required.	Verified income, banding to what they can service, a personal guarantee, and a pledged buffer or a secured asset.

Worked example. Ten members, Rs 10,000 a month, a Rs 100,000 pot. Turn 1 collects Rs 100,000 having paid Rs 10,000 — **Rs 90,000 of forward liability**. Turn 10 pays for nine months then collects; they cannot meaningfully default. Same circle, same rules, two completely different credit events.

The test we hold ourselves to — your warning, in our words.

Every control above is either **invisible** (position, pricing, banding) or **opt-in** (the products). A saver joining a circle still experiences an ordinary committee: pick a circle, pay each month, collect your turn. If a member ever has to understand the words “saver” or “consumer,” we have over-engineered it away from a real committee — which is the line you told us not to cross.

Prevention does roughly ninety percent of the work

Your mentor's doctrine — *don't build enforcement, build a system where default is irrational* — is the organising principle, not a slogan. In order of cost to us:

1. **Eligibility filtering.** Members are only shown circles their verified means can service. Free, invisible, and it does a collections team's job before there is anything to collect.
2. **Cross-product collateral.** Every member in a pledged Vault or an asset committee is pre-secured; a miss self-cures from their own units. We drive adoption with fee discounts and price honestly for everyone else.
3. **Position quarantine.** New members take late turns only until two clean completed circles plus verification. New risk never starts at the front. **Position is the collateral** — and it costs nobody a rupee of deposit.
4. **Identity and reputation.** Consented CNIC, home locality and public job; a reliability record built from real payment events.

Recovery is a ladder, and enforcement is its smallest rung

Rung	Mechanism	Who absorbs it
0 • Prevented	Eligibility + quarantine + pledged buffer mean most exposure is secured before default is possible.	Nobody
1 • Self-cure	Collection retries, then draw from the defaulter's <i>own</i> pledged Vault units, or repossess the financed asset.	The defaulter
2 • Halqa covers	First-loss fund pays the group immediately — members never lose a rupee. This is the trust product.	Halqa
3 • Guarantee	The unexpected spike is ceded to an NCGCL-style credit guarantee. Credit-life takaful sits on top as a member benefit.	The guarantor
4 • Legal	E-signed undertaking (<i>iqrarname</i>) + mutual member-to-member PG → Order XXXVII CPC summary suit → decree → attachment and sale. Bureau reporting once lawfully permitted.	The courts

Read it as: rungs 0–1 remove the incidence, rungs 2–3 remove the fear, rung 4 removes the temptation. We are not building a collections agency.

4 · Where the money actually sits

The question underneath every regulatory question. There are only three pools, and we touch one.

Money	Who holds it	In whose name	Halqa's role
Committee contributions	Nobody. It moves member → member on the rails.	—	Records the obligation on a double-entry ledger
Vault savings	CDC as trustee	The member's own name	Distributor. Never touches it.
Fees, late fees, guarantee premium	Halqa's own merchant account	Halqa	This is revenue, not custody

The consequence: there is no pot to abscond with. The Karachi Rs 420m case and the Sidra Humaid case — roughly US\$2m from 200 women — both required a central pool held by an operator. Structurally, we cannot reproduce them.

What it takes to ship each piece

Nothing below is a wish-list. Each item is tagged by the single thing that gates it.

Gate	What it unlocks
TODAY	Private limited company + NTN; record-only committees; the saver/consumer split; eligibility filtering; position quarantine; our own reliability score; e-signed undertaking and mutual PG; CNIC capture, PIN, biometric; the app in Urdu and English.
PARTNER	The Vault (AMC + CDC); card-on-file and wallet auto-collection (PSP/acquirer); bureau <i>reads</i> (TASDEEQ/DataCheck); credit-life takaful.
LICENCE	SECP multi-AMC distributor registration (Vault); Raast PISP participant status (true auto-debit); NBFC Investment Finance (asset finance, guarantee at scale, bureau <i>write</i>).
SANDBOX	The guarantee model itself; the high-volume balloted “Bazaar” committee; the float product. None of these ship outside supervision.
CAPITAL	The first-loss fund; asset-finance working capital; NBFC minimum equity; premiums; go-to-market.

5 · The asks, and the questions only you can answer

Ask 1 — a sandbox cohort, or a named path to one

This is the highest-value door in the whole plan and the only one we cannot open by paying someone or hiring someone. The precedent is exact: Egypt's central bank ran a **dedicated ROSCA cohort**, and that is what let Money Fellows exist and reach profitability. SECP's fourth cohort theme was Islamic micro- and nano-finance and “new takaful models” — essentially a description of us. We would pilot the **guarantee model**, capped and supervised, to replace our simulated default number with a real one before anyone's savings are at scale.

Ask 2 — two introductions

An **AMC or CDC** contact for the Vault, and a **bank or PSP** for collection. Both are commercial conversations rather than regulatory ones, which is exactly why a warm introduction is worth more than anything else you could hand us. Collection in particular is our binding constraint and sits outside SECP's remit entirely.

Ask 3 — your read on four lines

1 · The balance-sheet line. Where exactly does “Halqa covers defaults from its own funds” stop being an ordinary business cost and start requiring an NBFC or insurance licence? This is the single question that most changes what we build next.

2 · Reach inside the sandbox. Can we access an NCGCL-style guarantee and bureau/eCIB reporting *within* a sandbox, or only after an NBFC licence? The answer decides whether the pilot proves the real model or a stripped one.

3 · The float-backstop — the sensitive one. May savers' consented, return-paying Vault float part-fund the first-loss guarantee for consumers? We think this is capital-efficient and we think it is close to a line. **We are raising it rather than quietly building it.**

4 · Distributor or our own NBFC. Given where you want this to go, do you prefer we sit as a distributor to an existing AMC such as Mahaana, or build toward our own NBFC? We will sequence to your answer.

Two smaller ones if there is time: the CIS / lottery / derivative classification of the high-volume balloted committee with tradeable positions (we assume sandbox-only and will not ship it otherwise), and whether we read your margin-trading comment correctly.

6 · Hard questions, answered straight

The ones we expect, with the answers we will actually give.

“How many real members do you have?”

One. The platform is live on the internet and has been since 20 July, but we have not opened it to the public, because collection is not yet real and we will not take people's commitments on rails we cannot enforce. We would rather show you one honest user than a thousand we cannot collect from.

“Your default numbers are a simulation.”

Yes — a Pakistan-calibrated agent-based model, and we label it a simulation everywhere it appears. That is precisely the ask. A supervised pilot is how it stops being a model. We are not asking to be believed; we are asking to be measured.

“You say you cover defaults. With whose money?”

The fee spread, late fees, and a guarantee fee on protected circles — sized against an expected loss, provisioned the way a bank provisions. It is bounded, because early-turn exposure is itself bounded by eligibility banding and quarantine. The unexpected tail goes to a credit guarantee. If the pilot says the provision is wrong, we reprice rather than absorb it quietly.

“What stops you becoming the next Rs 420m Karachi case?”

There is no pot. Not a policy, not a control we could relax under pressure — there is simply no account into which member money accumulates. Vault savings sit with CDC in the member's own name. The fraud you are describing requires custody we do not have.

“What if Raast PISP slips?”

Then we run on the waterfall that works today — Raast RTP one-tap approval, card-on-file recurring for salaried consumers, wallet deduct via 1LINK. PISP is upside, not a dependency. We have architected so switching it on is a configuration change.

“Who is your lawyer?”

We do not have retained counsel yet — it is budgeted and it is the next thing we buy. Our undertaking and personal-guarantee texts are **lawyer-unreviewed templates** today, and we flag that in every document rather than let it pass. We would not scale on unreviewed instruments.

“Why hasn't a bank done this?”

Because the people in committees have no formal credit footprint to underwrite, and the ticket sizes are far below a bank's cost to serve. The committee already solved that with social collateral. We are not competing with the committee — we are giving it a record, a schedule, and a backstop.

7 · Our red lines, and our weaknesses

Lines we will not cross — stated before anyone asks us to

- **We will not hold the pot.** If a design requires custody of member money, we do not build it — we find the licensed custodian who should hold it instead.
- **We will not surveil members or use out-of-court pressure.** Deterrence stays legal and transparent: courts, guarantees, bureau reporting once permitted, and a platform record. Anything else is the behaviour of the fraudsters we are displacing, and it is unlawful under PECA and the data framework.
- **We will not launch the balloted, tradeable-position “Bazaar” committee outside a sandbox.** We can see it looks like a collective investment scheme, a lottery and a securities market at once. It stays unbuilt until a regulator says the words.
- **We will not label a product Shariah-compliant until it has been reviewed.** Products with a conventional early-access fee say so plainly in the consent text.
- **We will not report to a credit bureau until we are lawfully permitted to.** We queue the records; we do not file them.

What is genuinely weak right now

Weakness	What we are doing about it
No company, no licence, no partner yet	Incorporation is administrative and imminent; the partners are Ask 2.
Undertaking and PG are lawyer-unreviewed templates	Counsel is the next spend. Nothing scales on them until reviewed.
The default numbers are a simulation	Ask 1 — this is what the sandbox is for.
Collection is not yet real — the mandate is captured, execution is not	Ask 2. It is our true binding constraint, and it sits with SBP and the PSPs, not SECP.
One live member	Deliberate. We open when collection is real, not before.
More product is built than is validated	Acknowledged. Everything beyond the core committee is behind a named gate (§4) and we are holding the line on shipping order.

Our candour about this list is not modesty — it is the reason the rest of the document should be believed. Every figure here is either sourced or labelled as a projection. Full citations sit in Report 3; the model detail sits in Report 1.

The close

“The committee is already how Pakistan saves — four trillion rupees a year of it. We are not asking permission to invent something. We are asking for a supervised place to prove that it can be made safe, made to grow, and written down. What would you need to see before you would consider it credible to pilot?”